UNIVERSITÀ DEGLI STUDI DI BERGAMO
Dipartimento di Scienze Aziendali

Strategic Management Accounting

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The Sustainable Balanced Scorecard

Rocco Frondizi

Learning Objectives

1. Explain the ESG responsibilities and why environmental, social and governance goals must be linked to strategy, not reported on the side.
2. Distinguish market and non-market aspects, and use double materiality to choose what to measure.
3. Describe the three architectures of a sustainable balanced scorecard and when each fits.
4. Place sustainability measures in a strategy map and see how a real company connects them to its strategy.



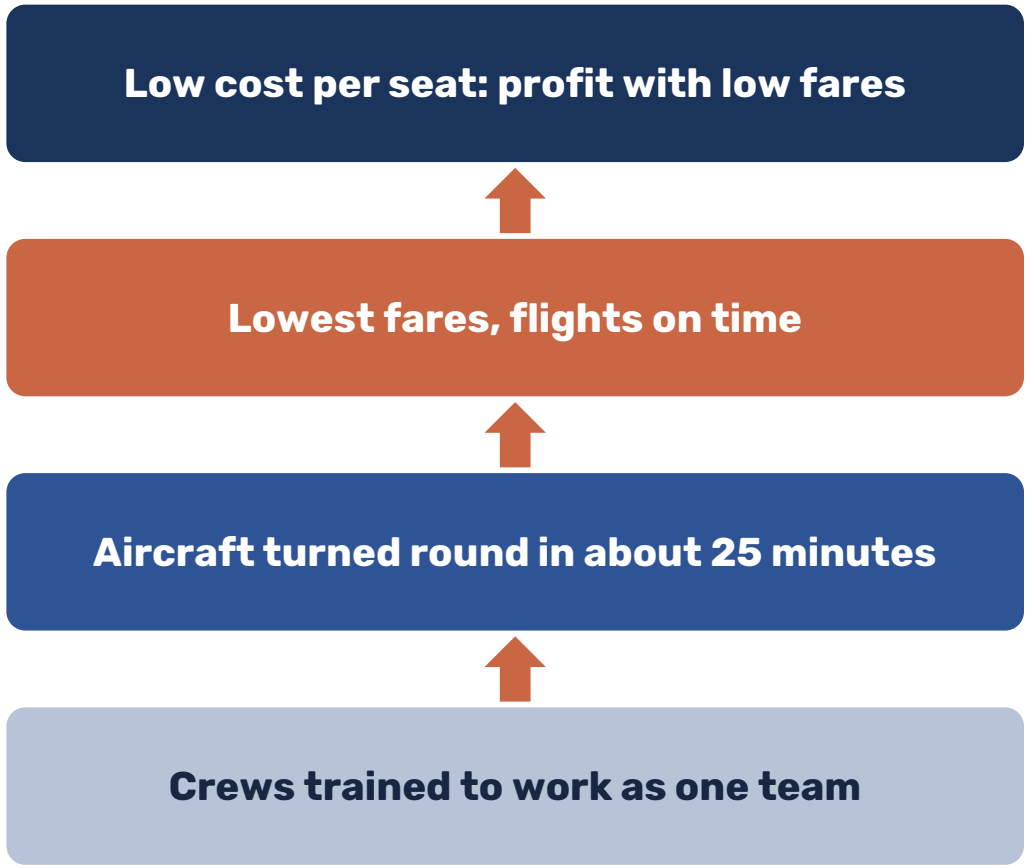
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Why sustainability belongs in the scorecard

Section I

The Sustainable Balanced Scorecard

Recap: a strategy map in four rows



- Measures are **derived from the strategy**, not chosen from a list.
- Each arrow is an **if/then hypothesis** that data can confirm or reject.
- The financial perspective is the **final check**: if nothing reaches the bottom line, the strategy is questioned.
- **Question for today:** where do environmental and social goals fit in this logic?

From shareholders to stakeholders

FRIEDMAN, 1970

Shareholder view

The responsibility of business is to increase its profits.

What counts: **financial results** for the owners.

FREEMAN, 1984

Stakeholder view

A stakeholder is any group or individual who can affect or is affected by the company's activity.

What counts: results for **all stakeholders**.

Stakeholders of different nature: employees, consumers, suppliers, local communities, institutions and authorities, NGOs.

Firms are **open systems**: accountability, competitive advantage and long term survival depend on their relations with the internal and external environment.

The triple bottom line: people, planet, profit

PEOPLE

Social performance

Employees, workers in the supply chain, customers' health and safety, local communities, human rights.

PLANET

Environmental performance

Emissions, energy, water, materials, waste, biodiversity.

PROFIT

Economic performance

Value created for owners and for the economy: sales, margins, returns, jobs, taxes.

The idea, proposed by **John Elkington** in the 1990s: a company should be judged on three bottom lines, not one. The open question is how the three are **managed together**.

ESG: three sets of responsibilities

Investors, customers, employees, suppliers, regulators and communities judge a company on three criteria. **Governance** is the new word: without it, environmental and social performance do not improve.

E Environmental

How processes, policies, products and packaging improve environmental sustainability.

- Less packaging waste, carbon emissions and water
- Renewable energy, green buildings, responsible sourcing
- Recycling and biodiversity

S Social

How the company improves the health, wellbeing and rights of its stakeholders.

- Employees: training, fair wages, a safe workplace
- Suppliers: no child labour
- Customers: data privacy, safe products
- Community: local hiring, education

G Governance

The policies and practices used to direct and control the company.

- A diverse, qualified board
- An ESG culture and ethical decisions
- Transparent reporting
- Executive pay linked to ESG

Your turn

E, S or G?

Continental Dynamics, a maker of jet engine components, must prove a strong ESG record to bid for a government contract. Classify each item as **E, S or G**, and add ↑ if more is better or ↓ if less is better. Example: carbon emissions → **E** ↓.

1 Customer data privacy	2 Biodiversity preservation	3 Packaging material waste
4 Executive pay transparency	5 Community investments	6 Ethical decision making
7 Policies against harassment	8 Reliable financial reports	9 Fair pricing
10 Responsible materials sourcing	11 Board of directors' diversity	12 Employee health and safety

Solution

E, S or G: a possible answer

Five social, four governance, three environmental items; only packaging waste is better when it falls.

1	Customer data privacy	S	↑
2	Biodiversity preservation	E	↑
3	Packaging material waste	E	↓
4	Executive pay transparency	G	↑
5	Community investments	S	↑
6	Ethical decision making	G	↑
7	Policies against harassment	S	↑
8	Reliable financial reports	G	↑
9	Fair pricing	S	↑
10	Responsible materials sourcing	E	↑
11	Board of directors' diversity	G	↑
12	Employee health and safety	S	↑

Four pressures that make it strategic

Regulation

Sustainability reporting and due diligence rules in the EU; carbon pricing; product rules.

Investors and banks

ESG ratings, sustainable finance, loan conditions tied to sustainability targets.

Customers and supply chains

Large customers ask suppliers for emissions data, certifications and codes of conduct.

People

Graduates and employees look at a company's purpose and practices when they choose where to work.

ESG brings risks and opportunities

RISK

Ignore ESG, and the damage spreads

A company discharges pollutants into a river. Then:

- negative press, customer boycotts and defections
- fewer top job applicants, more employee turnover
- disenchanted investors
- lawsuits and fines from the authorities

In real life

Starbucks, with its Coffee and Farmer Equity Practices, monitors the economic, social and environmental impact of more than **400,000 growers in 30 countries**.

OPPORTUNITY

Use ESG to innovate and grow

- New products customers want
- Sustainable branding that sells
- Better planning under uncertainty

In real life

Timberland makes its Earthkeepers footwear with recycled plastic from millions of water bottles. Allbirds and MUD Jeans follow the same idea.

Your turn

When the risk becomes real: Volkswagen

UNITED STATES, 2015

The facts

- Software in diesel cars of Volkswagen, Audi and Porsche, model years 2009 to 2015, detected emission tests and cut emissions only during the test.
- On the road the cars emitted up to **40 times** the US limit of toxic emissions.
- Volkswagen had nearly **70%** of the US passenger car diesel market.
- It agreed to pay **$14.7 billion** in the US and could no longer sell most of its US diesel stock.

YOUR TURN

Discuss

1. What would happen if every carmaker bypassed emission tests?
2. How would it affect the industry's environmental performance?
3. How are customers affected?
4. Which costs are financial, and which are intangible?

Solution

Volkswagen: possible answers

1. If every carmaker cheated

Emission limits would become useless, air quality would worsen and regulators would stop trusting any test.

2. The whole industry

Its environmental performance would fall, and stricter, more costly controls would follow for everyone.

3. Customers

They paid for a clean car they did not get; resale values fell and trust in the brand was lost.

4. Financial and intangible costs

Financial: fines, buybacks, repairs. **Intangible:** reputation, the US diesel market, management time, employee morale.

A non-market aspect, emissions controlled by regulators, became one of the largest financial losses in the car industry.

EU rules: who must report, and what

The CSRD is the EU directive on sustainability reporting. In 2026 the **Omnibus I** directive simplified it. In short:

WHO

1,000+

employees **and** more than €450 million turnover

WHEN

2027

first financial year covered; first reports in 2028

WHAT

ESRS

European Sustainability Reporting Standards, simplified, with fewer data points

CHECKED BY

Auditor

limited assurance on the sustainability report

How topics are chosen: double materiality, impacts on people and planet **and** financial risks and opportunities.

Why it matters for the scorecard: what a company must report, it must first measure; the scorecard gives each measure a target and an owner.

Directive (EU) 2026/470 (Omnibus I), published 26 February 2026; transposition by 19 March 2027.

Many standards, one direction

Outside the EU, companies choose among several standard setters. The easiest way to tell them apart is to ask **which direction of materiality** each one looks at.

INSIDE OUT
the company's impact on people and planet

OUTSIDE IN
effects on the company's results



GRI

Global Reporting Initiative: impacts on the economy, the environment and people. For all stakeholders.

ESRS

The EU standards: both directions at once, that is double materiality.

SASB

Sustainability topics that matter financially, industry by industry. For investors; now maintained by the ISSB.

Also used

UN PRI: principles for responsible investors. **WEF and IBC:** Stakeholder Capitalism Metrics, a common core set of measures.

Why it is still hard

No single standard yet; assurance practice varies; a **monetary value** of ESG impacts is hard to set (impact weighted accounting tries). In the US the SEC climate rules of 2024 are **not in force**.

The UN Sustainable Development Goals

Not a reporting standard, but a **blueprint**: 17 goals of the UN 2030 Agenda, each with targets that companies and governments use as benchmarks.

1 No poverty	**2** Zero hunger	**3** Good health and wellbeing	**4** Quality education	**5** Gender equality	**6** Clean water and sanitation
7 Affordable and clean energy	**8** Decent work and economic growth	**9** Industry, innovation and infrastructure	**10** Reduced inequalities	**11** Sustainable cities and communities	**12** Responsible consumption and production
13 Climate action	**14** Life below water	**15** Life on land	**16** Peace, justice and strong institutions	**17** Partnerships for the goals	

Double materiality: two directions of looking

INSIDE OUT

Impact materiality

How does the company affect people and the environment?

Example: a pasta factory uses a lot of water and energy, and its trucks bring traffic and emissions to the valley.

OUTSIDE IN

Financial materiality

How do environmental and social issues affect the company's results and risks?

Example: a drought in southern Italy cuts the durum wheat harvest, and the pasta maker pays more for its main raw material.

A topic is **material** if it matters in **either** direction. For the scorecard, these are the candidates for measures.

The usual problem: sustainability on the side

A separate report

Written once a year for external readers, not used in monthly management.

A separate department

The sustainability team owns the topic; line managers do not.

No link to strategy

Targets are not derived from the value proposition, so they compete with it.

No link to rewards

Managers are paid on financial results only, so sustainability loses every trade-off.

Result: good intentions, little change in decisions, and a risk of **greenwashing**.

DEFINITION

A sustainable balanced scorecard links environmental and social aspects to the company's strategy, so that they are managed inside the core business.

It is not a new tool. It uses the logic of the balanced scorecard: derive, link, measure, test.



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Where does each aspect go?

Section II

The Sustainable Balanced Scorecard

To link an aspect to strategy, follow its path

The definition asks us to **link** each environmental or social aspect **to the strategy**. First question: **how does the aspect reach the company?**



These are the two kinds of aspect of the next slide: **market** and **non-market**. The path decides where the aspect goes in the scorecard.

Market and non-market aspects

Market aspects

HOW THEY ACT

Through markets: customers, suppliers, prices, costs.

EXAMPLES

Energy cost, demand for green products, scarce raw materials.

IN THE SCORECARD

Fit the four classic perspectives.

Non-market aspects

HOW THEY ACT

Outside markets: laws, public opinion, communities, NGOs.

EXAMPLES

Licence to operate, NGO campaigns, new regulation, reputation.

IN THE SCORECARD

May need a perspective of their own.

Example: Enel's renewable share acts through **investors** (market); residents protesting against a new plant act through the **community** (non-market).

Your turn

Market or non-market?

A The energy cost of the ovens in a bakery

B Supermarkets asking for recyclable packaging

C An NGO campaign on palm oil in snacks

D Residents opposing a factory extension

E A new EU labelling rule for food

F Graduates choosing employers with a green reputation

G Water scarcity in a supplier's region

H A local council's traffic restrictions for trucks

Solution

Market or non-market: a possible answer

A	**Energy cost of the ovens** acts through costs	**Market**
B	**Recyclable packaging requests** acts through customers	**Market**
C	**NGO campaign on palm oil** acts through public opinion	**Non-market**
D	**Residents opposing an extension** licence to operate	**Non-market**
E	**EU labelling rule** acts through law	**Non-market**
F	**Graduates and green reputation** acts through the labour market	**Market**
G	**Water scarcity at a supplier** acts through supply and prices	**Market**
H	**Council traffic restrictions** local regulation	**Non-market**

Borderline cases: G becomes non-market if the water conflict turns political; E raises costs too, but it starts from a law, so it is non-market.

Three options for a sustainable scorecard

1

Integrate

Place environmental and social measures inside the four existing perspectives.

2

Add

Create a fifth, non-market perspective for aspects that act through society and politics.

3

Derive

Build a specific environmental and social scorecard, derived from the main one.

The options can be **combined**.

Option 1: integrate into the four perspectives

Perspective	Environmental measure	Social measure
Financial	Revenue from low impact products ↑	Cost of workplace accidents ↓
Customer	Customers who see us as environmentally responsible ↑	Customers who trust our product safety ↑
Internal processes	Energy per unit produced ↓	Suppliers audited on labour standards ↑
Learning and growth	Employees trained on environmental practices ↑	Female to male average pay ↑

Strength

Sustainability sits **inside the main chain** of cause and effect and is managed by line managers, like any other measure.

Limit

The four boxes only see aspects that reach the company **through markets**. Residents opposing a new plant act through permits and public opinion: here they have **no natural place**. **Option 2 solves this.**

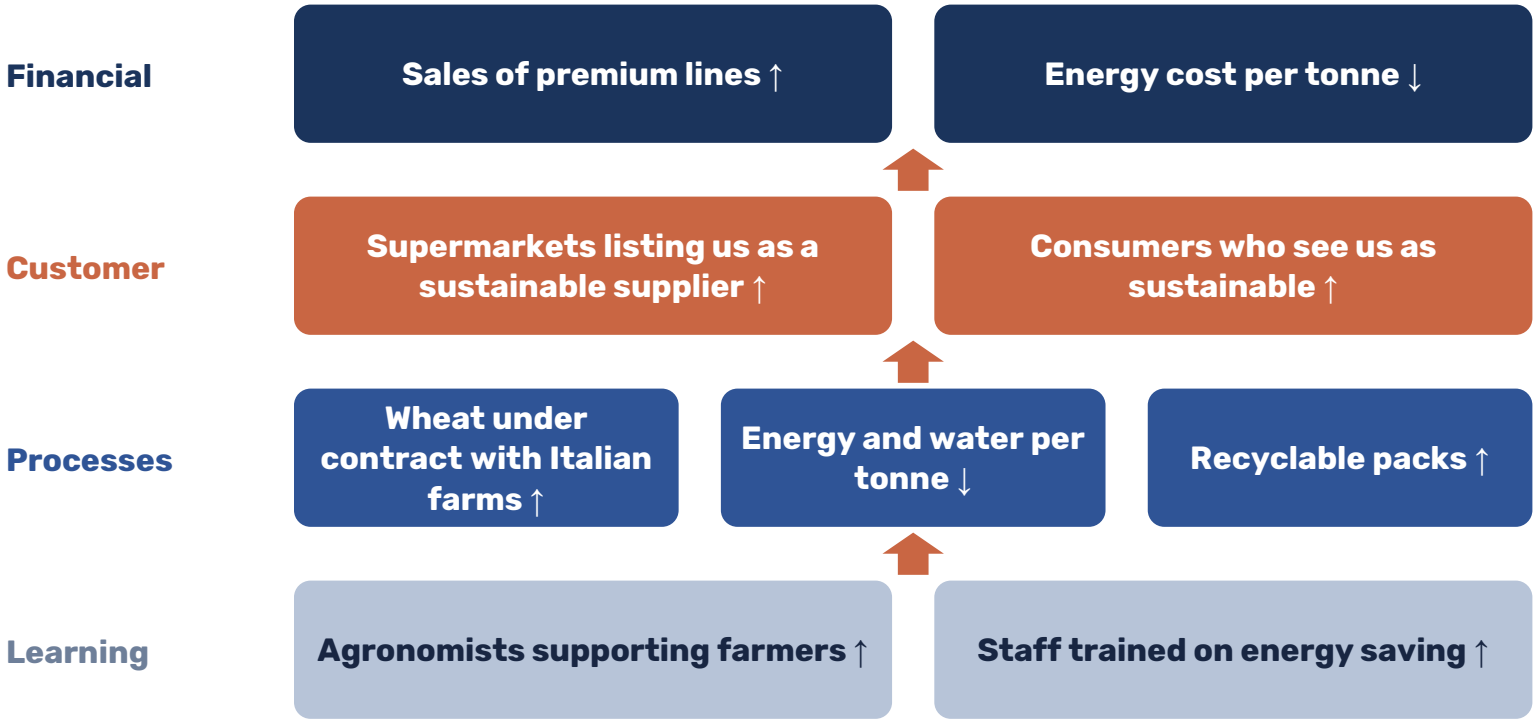
ESG measures in the four perspectives

	Environmental	Social	Governance
Financial	Revenue from eco products ↑	Workers' compensation costs ↓	CEO pay ÷ average employee pay ↓
Customer	Customers buying eco products ↑	Customers who say we care about local communities ↑	Customers who say we behave ethically ↑
Internal processes	Water and carbon per unit produced ↓	Warranty claims ÷ sales ↓	Suppliers with verified child labour compliance ↑
Learning and growth	Engineers trained in eco design ↑	Occupational injuries ↓	Board members with ESG training ↑

Link them with if/then statements and **tie them to rewards**, or a declared commitment may not lead to action.

Option 1 in practice: the pasta maker

Quality pasta from Italian durum wheat, sold to supermarkets.

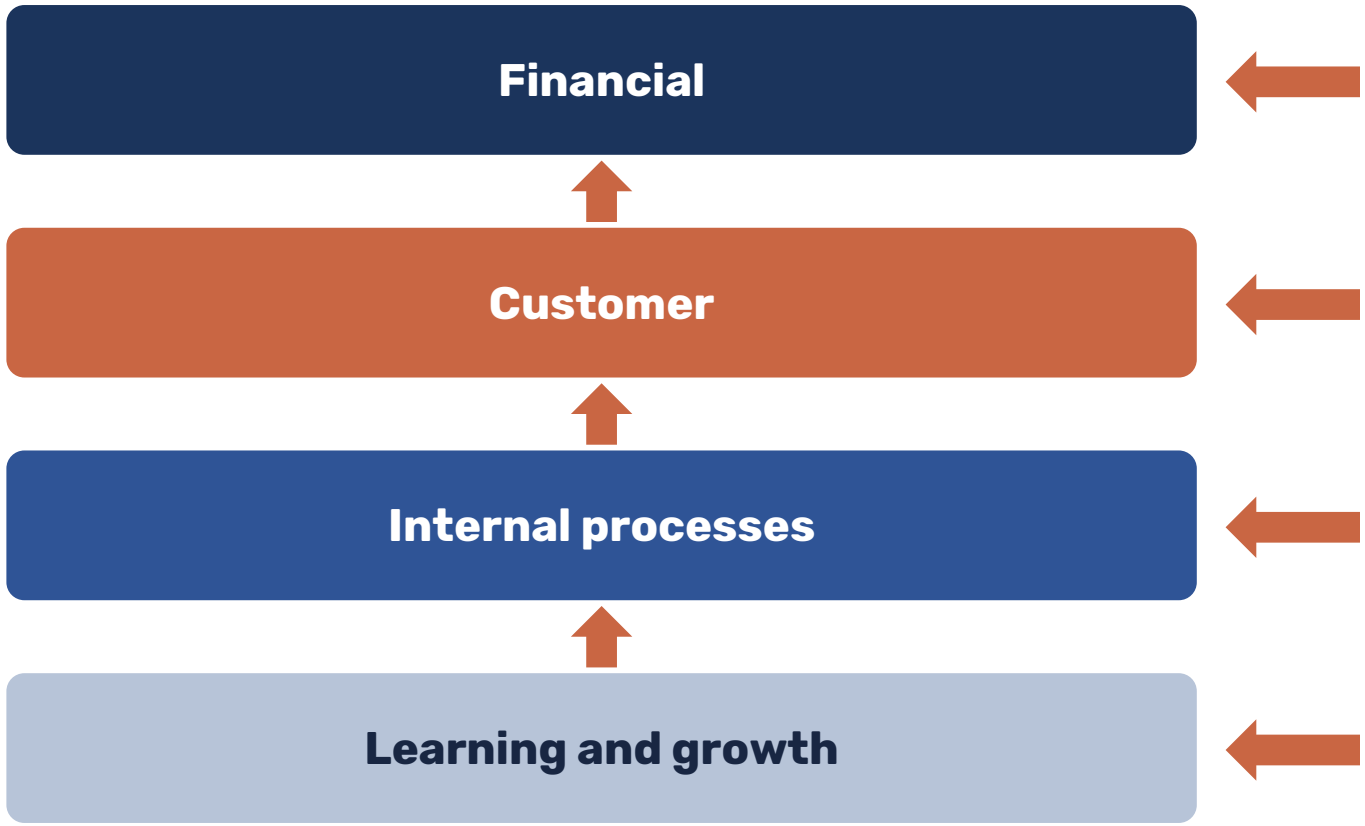


OPTION 1

Everything in four rows

- Environmental and social measures sit in the usual perspectives.
- Each one has an arrow toward the financial results.
- Missing: the residents' complaints about trucks. They act outside markets.

Option 2: add a non-market perspective



Non-market perspective

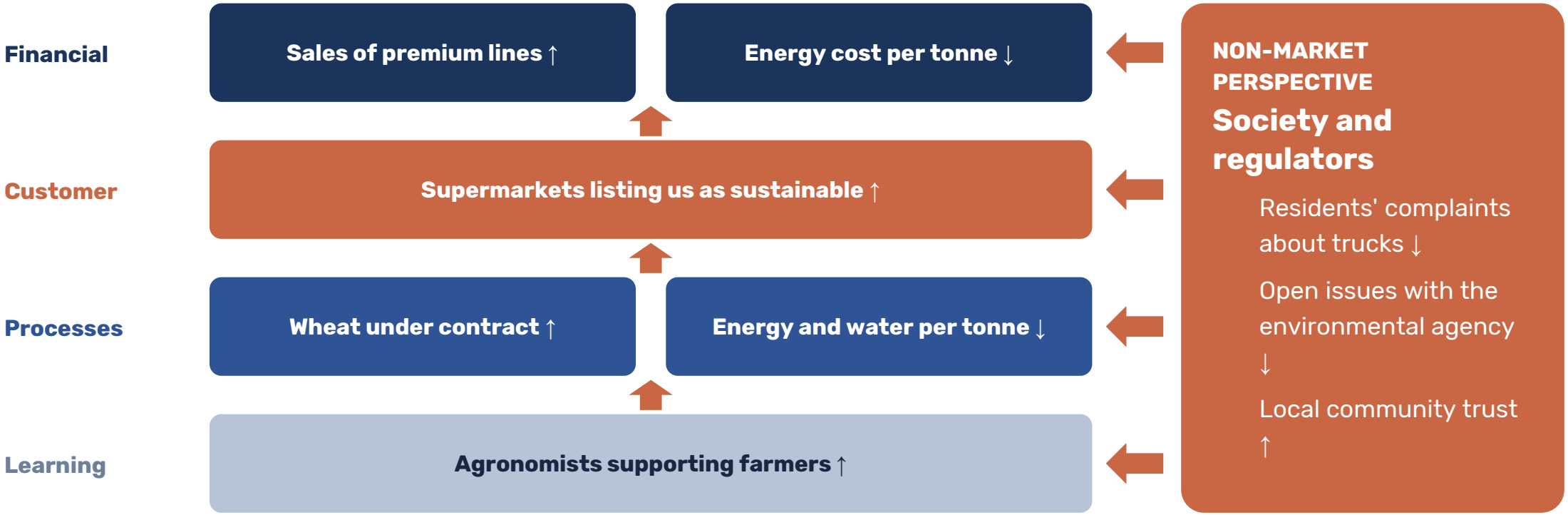
Society, regulators, NGOs, local communities, media.

Measures: community complaints ↓, open regulatory issues ↓, stakeholder trust ↑.

Used when non-market aspects are **strategically relevant** and cannot be placed elsewhere.

Option 2 in practice: the pasta maker

Quality pasta from Italian durum wheat, sold to supermarkets.



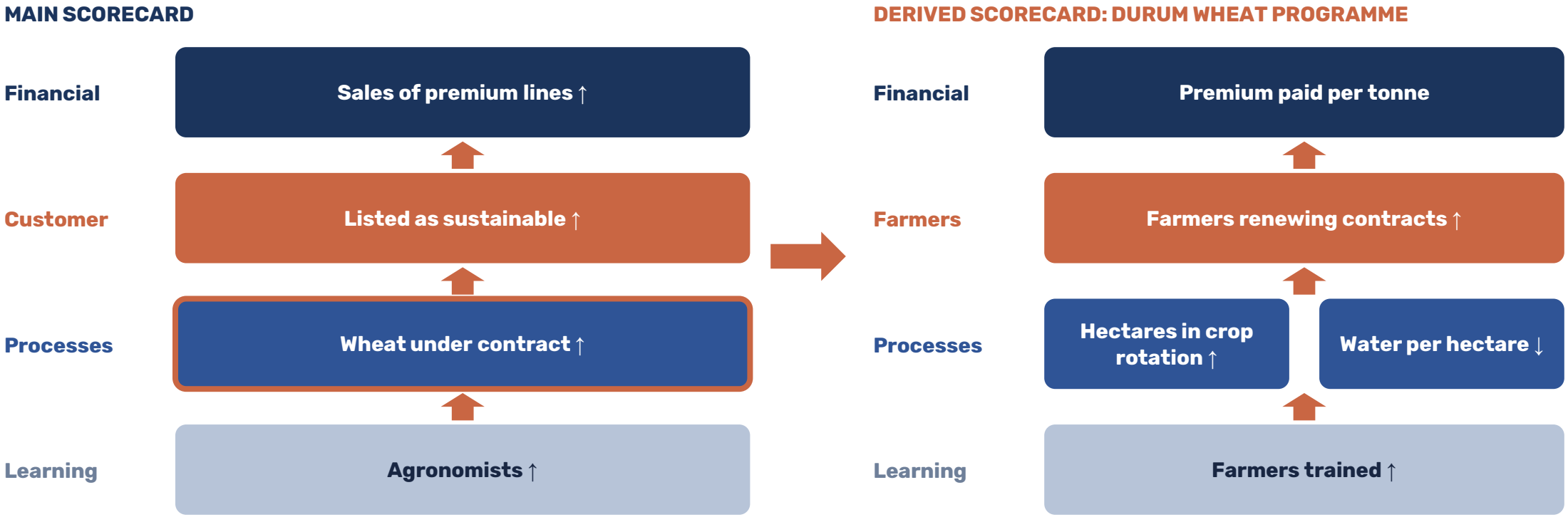
Option 3: derive a specific scorecard

- A dedicated environmental and social scorecard, for example for the **sustainability unit** or for a **supplier programme**.
- It is **derived** from the main scorecard: it details objectives already placed there.
- **Used alone**, it brings back the silo problem: a separate world with separate goals.



Option 3 in practice: the pasta maker

Quality pasta from Italian durum wheat, sold to supermarkets.



The derived scorecard details one objective of the main map, **Wheat under contract**, and stays linked to it.

Comparing the three options

1 Integrate

FITS WHEN

Most aspects act through markets.

STRENGTH

Inside the core cause and effect logic.

RISK

Non-market aspects are left out.

2 Add a perspective

FITS WHEN

Licence to operate and public pressure matter.

STRENGTH

Gives society a visible place.

RISK

Treated as an extra, not a driver.

3 Derive

FITS WHEN

A unit or a programme needs detail.

STRENGTH

Operational focus.

RISK

Becomes a silo if not linked.

Two choices define every sustainable scorecard

Hansen and Schaltegger (2016): a sustainable scorecard is described by **two choices**. We have just seen the first; the next slides show the second.

	CHOICE 2: WHAT SITS AT THE TOP? (next slides)		
CHOICE 1: WHERE? (just seen)	**Business case** profit at the top	**Mission first** sustainability at the top	**Balanced** several goals at the top
1. Integrate	**Pasta maker**		**Novo Nordisk (section IV)**
2. Add a perspective	**Caffè Lago, Alpe Verde (next section)**		
3. Derive			

The rows say **where** sustainability goes; the columns say **what the map is for**.

Second choice: what sits at the top of the map?

The three options say **where** sustainability goes. The second choice says **what the whole map is for**.

BUSINESS CASE

Profit at the top

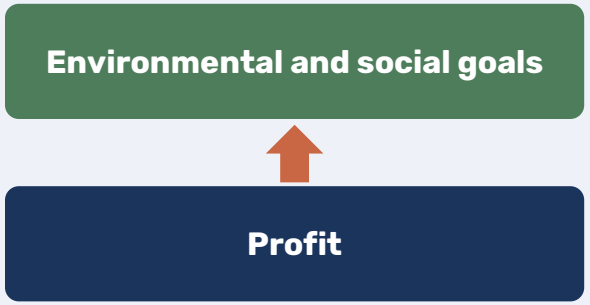


Sustainability counts because it creates financial value.

e.g. most listed companies

MISSION FIRST

Sustainability at the top



Profit is a means, or a limit to respect.

e.g. Patagonia, next slide

BALANCED

Several goals at the top



Economic, environmental and social results weigh the same.

e.g. Novo Nordisk, later today

In the traditional balanced scorecard profit always sat at the top. Here it becomes a choice that reflects the company's **values** (Hansen and Schaltegger, 2016).

Choice 2, mission first: two examples

PATAGONIA, 2022

“Earth is now our only shareholder”

The founder gave away the company: the voting shares to a trust that protects its values, the other 98% to a non profit that fights climate change.

Profits not reinvested, about **$100 million a year**, go to the environment.

IN ITALY

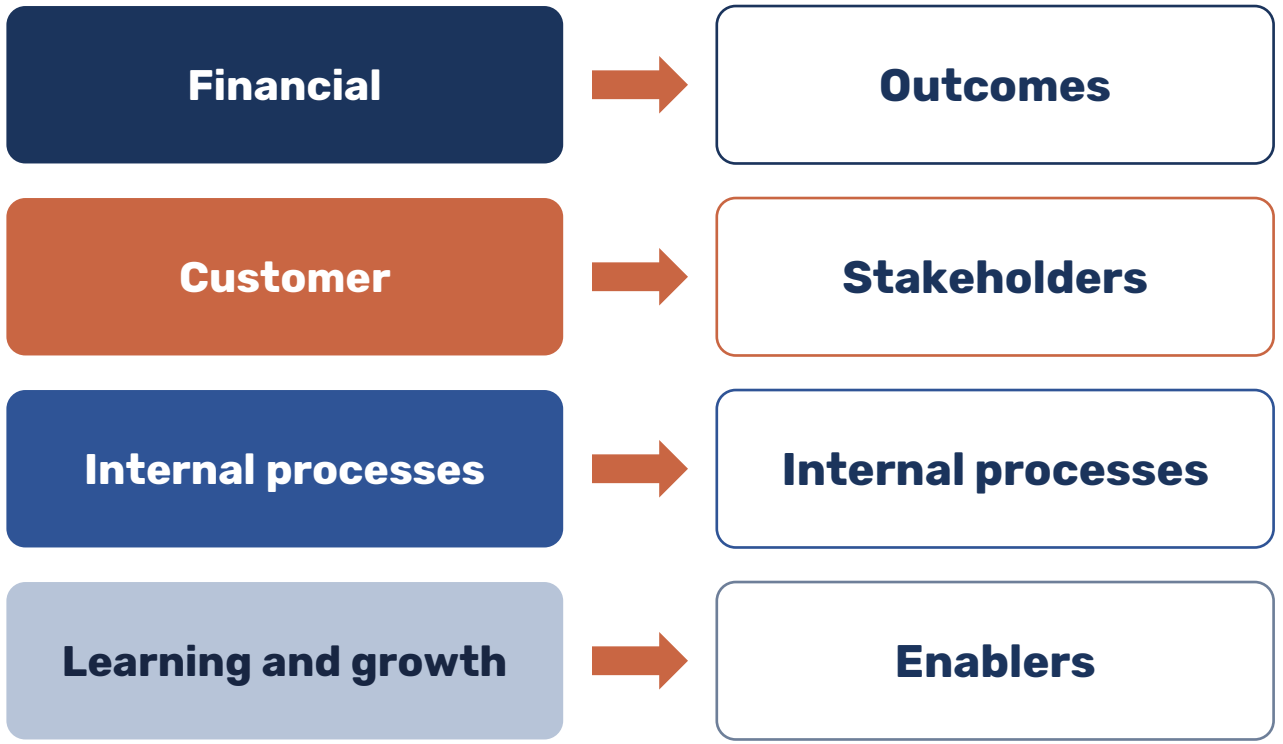
The Società Benefit

Since 2016 Italian companies can write a **common benefit** into their statutes, next to profit.

Chiesi, the pharmaceutical group from Parma, chose this form and in 2019 became the largest pharmaceutical group in the world with B Corp certification.

In both companies sustainability sits **at the top of the map**; profit is a means to reach it, not the goal.

Choice 2, balanced: Kaplan and McMillan



The top becomes **Outcomes**: financial, environmental and social results together. This is the **balanced** column of the previous matrix, as at Novo Nordisk.

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Designing and using a sustainable scorecard

Section III

The Sustainable Balanced Scorecard

Designing a sustainable scorecard in three steps

1

Choose the business unit

A scorecard is built for a strategic business unit with its own strategy.

2

Identify the exposure

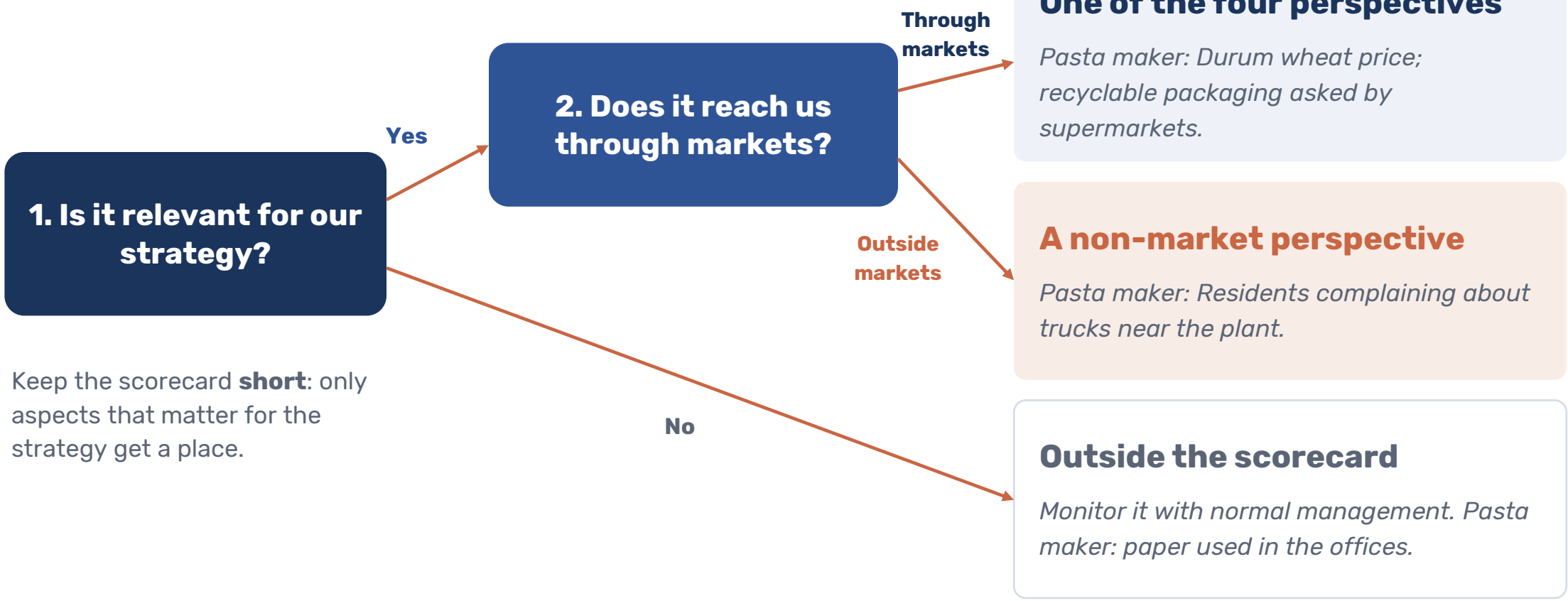
List the environmental and social aspects the unit affects or is affected by.

3

Determine the relevance

Decide which aspects matter for the strategy and where they go in the scorecard.

Step 3: two questions decide where an aspect goes



Keep the scorecard **short**: only aspects that matter for the strategy get a place.

Hotel Alpe Verde: where does each aspect go?

A fictional four star hotel in the Alps. Strategy: a **premium eco experience** for guests who want nature, local food and low impact holidays.

For each aspect, answer three questions:

1. Relevant? 2. Through markets or outside? 3. Which perspective and measure?

1 Energy for heating and the spa	**2** Share of food bought from local farms
3 Housing for seasonal staff	**4** Less natural snow because of climate change
5 Residents' complaints about tourist traffic	**6** Guests' rating of the hotel's environmental practices

Solution

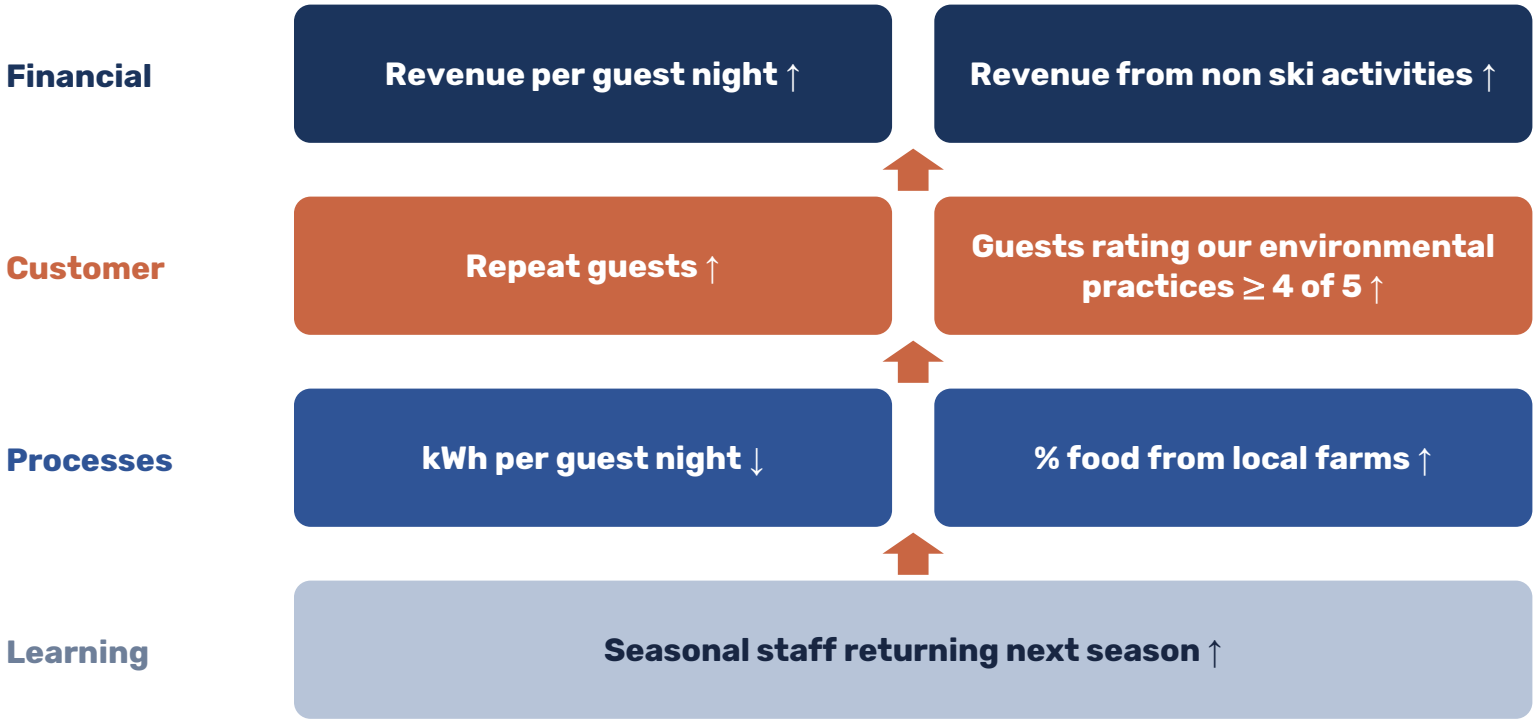
Hotel Alpe Verde: a possible answer

	Aspect	Relevant	Path	Perspective	Measure
1	Energy for heating and spa	Yes	Markets: cost	Internal processes	kWh per guest night ↓
2	Local food sourcing	Yes	Markets: guests	Internal processes	% food from local farms ↑
3	Seasonal staff housing	Yes	Markets: labour	Learning and growth	Staff returning next season ↑
4	Less natural snow	Yes	Markets: demand	Financial	Revenue from non ski activities ↑
5	Residents' complaints	Yes	Outside markets	Non-market	Complaints per season ↓
6	Guests' environmental rating	Yes	Markets: guests	Customer	Guests rating ≥ 4 of 5 ↑

All six are relevant for this strategy. The **path** decides the perspective: only the residents' complaints need a non-market place.

Alpe Verde, option 1: integrate

Hotel Alpe Verde: a premium eco experience in the Alps. The six aspects of the exercise, placed on a map.



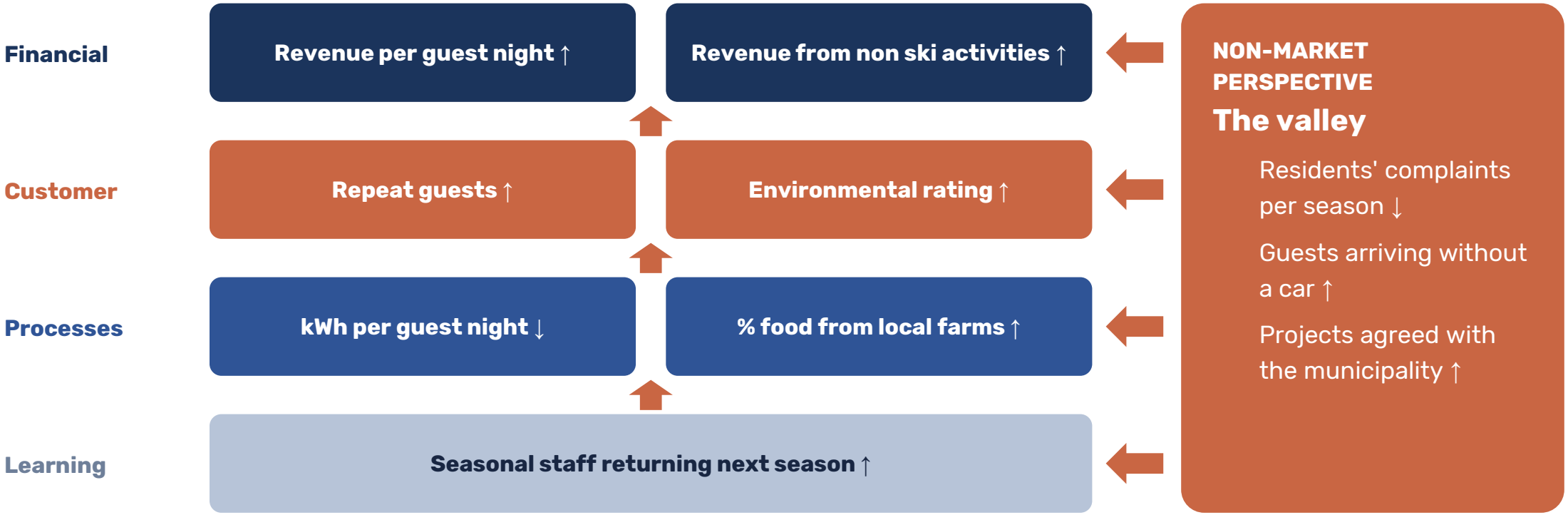
OPTION 1

Five aspects of six

- Energy, local food, staff, snow and guests' rating fit the four rows.
- Residents' complaints about traffic have **no place**: they act outside markets.

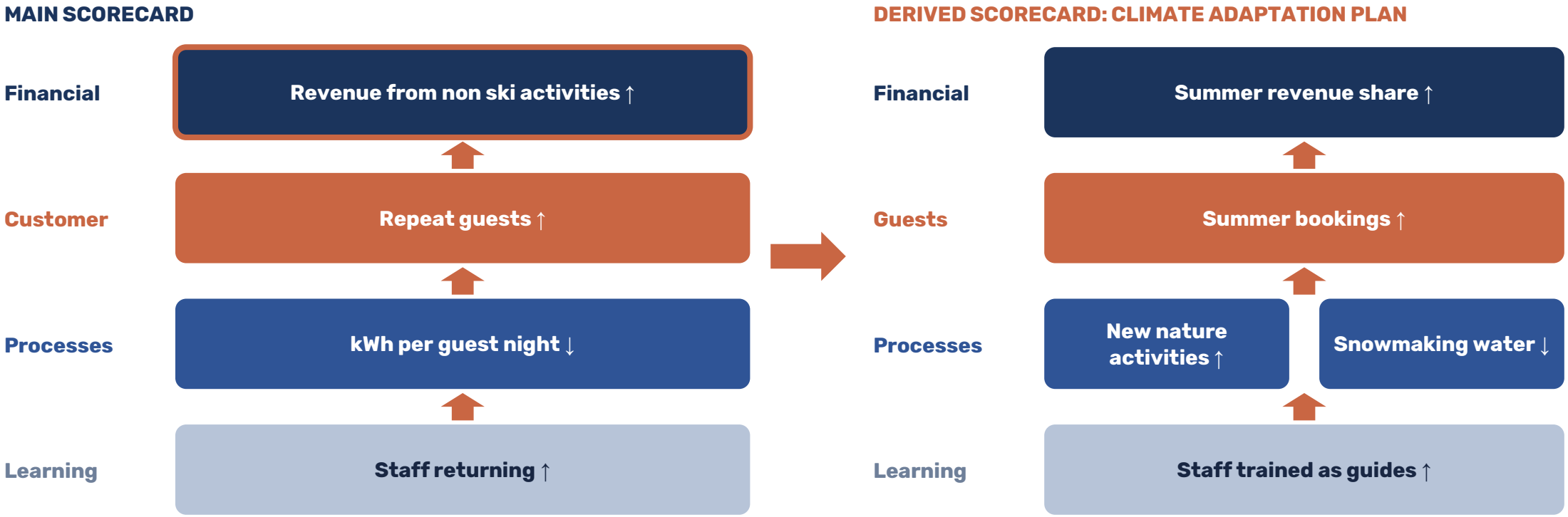
Alpe Verde, option 2: add a non-market perspective

Hotel Alpe Verde: a premium eco experience in the Alps. The six aspects of the exercise, placed on a map.



Alpe Verde, option 3: derive a specific scorecard

Hotel Alpe Verde: a premium eco experience in the Alps. The six aspects of the exercise, placed on a map.



The derived scorecard details one objective of the main map, **Revenue from non ski activities**, and stays linked to it.

Alpe Verde: which option fits?

OPTION 1

Almost enough

Five of six aspects fit, but the residents, a real risk for the licence to operate, are left out.

OPTION 2

Best fit

The valley gets a visible place, with arrows to guests and revenue.

OPTION 3

A useful add on

A detailed plan for climate adaptation, linked to the main map.

Conclusions

- The architecture follows the aspects: one relevant non-market aspect is enough to justify option 2.
- Options can be **combined**: option 2 for the hotel, option 3 for the climate plan.
- Choice 2: a **business case**. Profit stays at the top, sustainability is part of the product.

Caffè Lago: the company

- A **fictional** specialty coffee roaster near Bergamo, 80 employees.
- Customers: cafés and restaurants, offices, online consumers.
- Buys green coffee from farmers' cooperatives in Latin America and East Africa.
- Competes with large roasters that sell at lower prices.

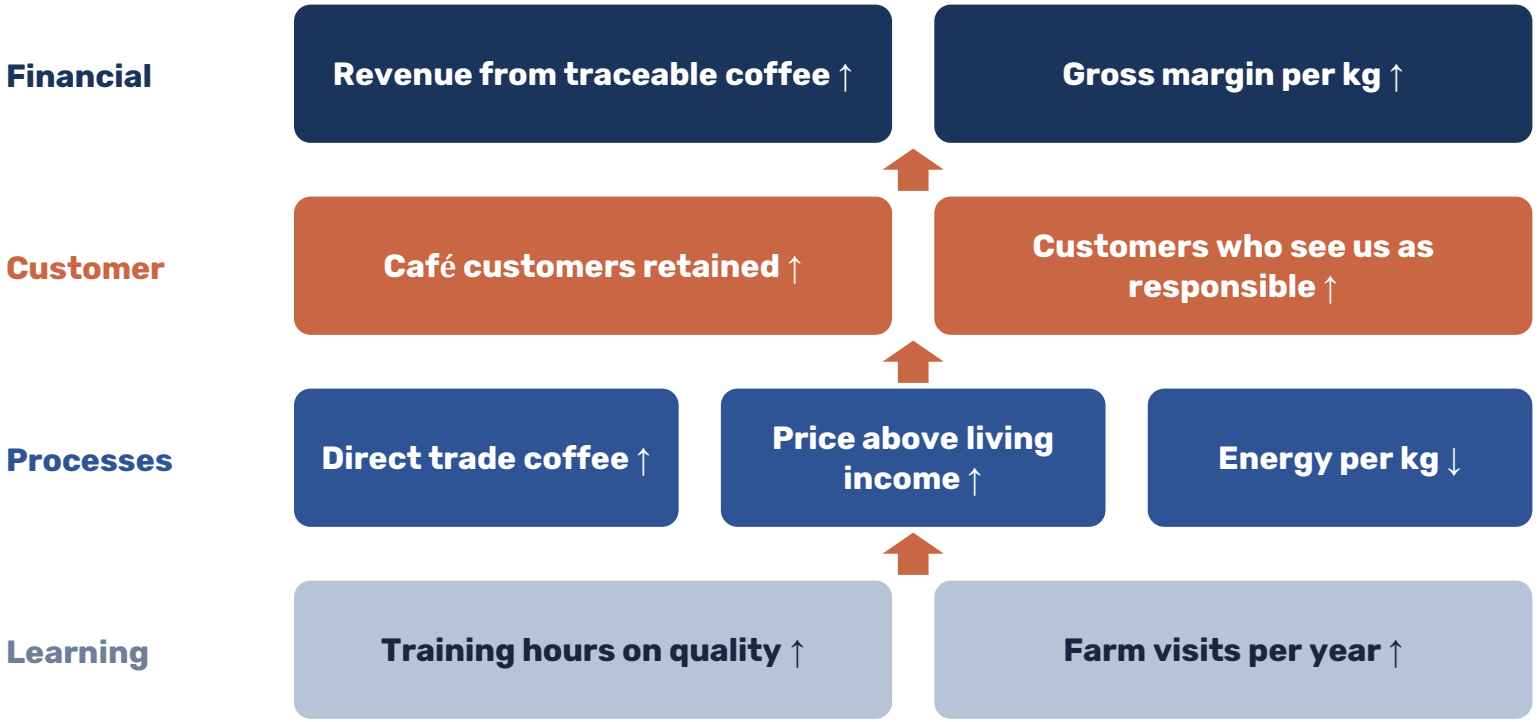
Strategy

High quality coffee **traceable to the farm**, bought at a **fair price** from long term partners, roasted with **low impact**.

Value proposition: product leadership, with sustainability as part of quality.

Caffè Lago, option 1: integrate

Caffè Lago: traceable coffee bought at a fair price from long term partners, roasted with low impact.



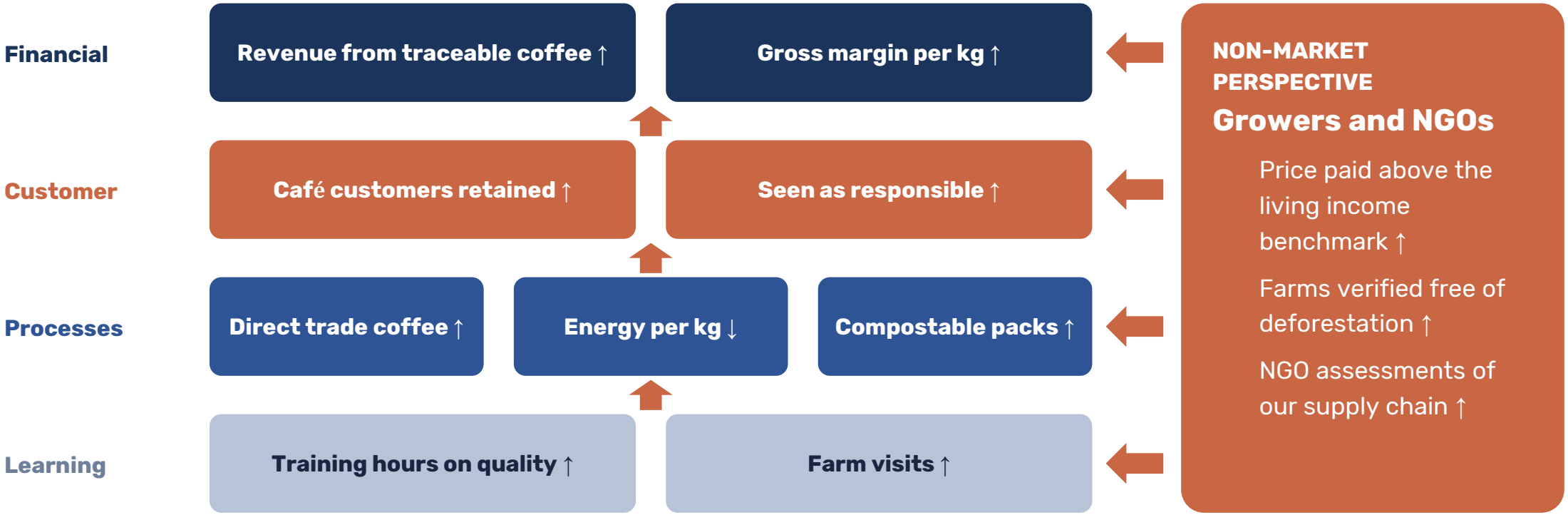
OPTION 1

Farmers inside purchasing

- Farmers' income and deforestation become **details of the purchasing process**.
- Simple, but growers' communities and NGOs are invisible.

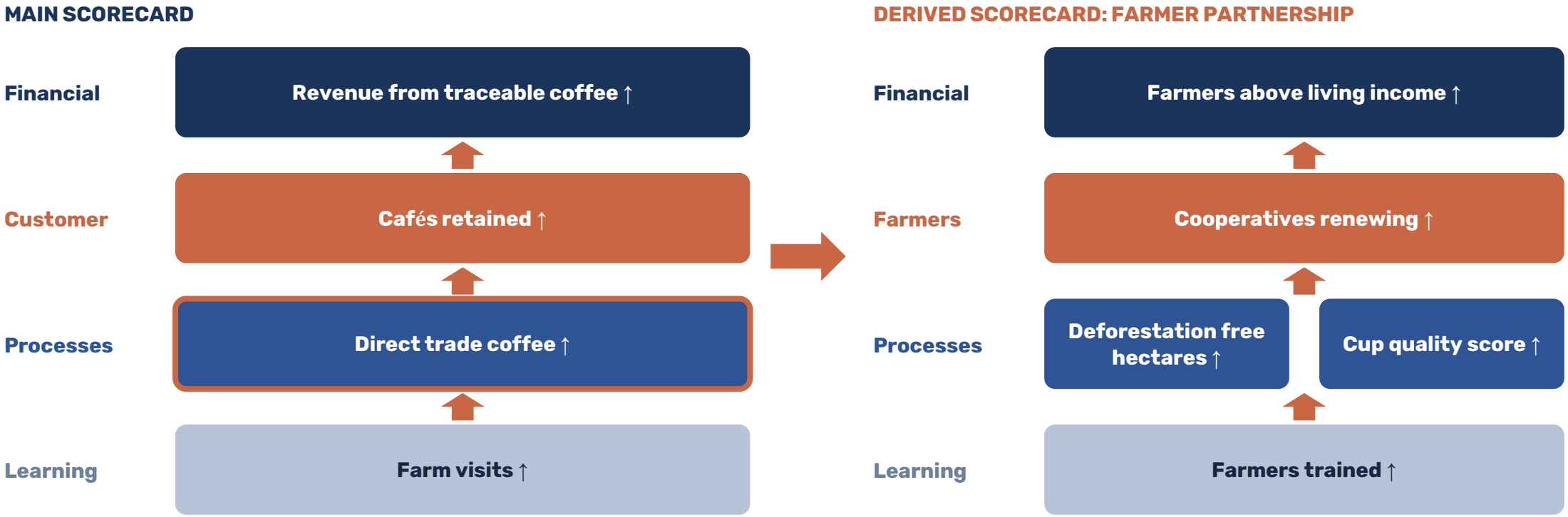
Caffè Lago, option 2: add a non-market perspective

Caffè Lago: traceable coffee bought at a fair price from long term partners, roasted with low impact.



Caffè Lago, option 3: derive a specific scorecard

Caffè Lago: traceable coffee bought at a fair price from long term partners, roasted with low impact.



The derived scorecard details one objective of the main map, **Direct trade coffee**, and stays linked to it.

Three kinds of arrow toward profit

Every sustainability measure on Caffè Lago's map needs an arrow toward the financial perspective. That arrow can be of three kinds.

WIN WIN

Good for both

Less energy per kg roasted: lower emissions and lower costs at the same time.

TRADE-OFF

Good for one, costly for the other

Paying farmers above the benchmark: better lives and better beans, but higher purchasing costs.

MANDATORY

Required anyway

Rules on packaging or reporting: the question is how to comply at the lowest cost.

Caffè Lago bets that its trade off becomes a **win win**: cafés will pay more for responsible coffee. On any of the three maps this bet is an if/then arrow that data must confirm.

Caffè Lago: which option fits?

OPTION 1

Too narrow

Growers become a purchasing detail; NGOs and communities have no place.

OPTION 2

Best fit

Growers and NGOs get their own perspective, with arrows to reputation and supply.

OPTION 3

Needed too

The farmer partnership needs its own detailed scorecard, linked to the main one.

Conclusions

- Best design: **option 2 plus option 3** for the farmer partnership.
- Choice 2: a **business case**, where sustainability is part of quality and quality sells.
- Same answer as Alpe Verde, for a different reason: here the non-market actors are far away, in the supply chain.

Tool or symbol?

No link to strategy

Sustainability measures are listed, but no arrow connects them to the value proposition.

No targets

Numbers are reported without direction, target or date.

Never reviewed

Nobody discusses the measures in management meetings or changes plans because of them.

Only good news

Measures that worsen quietly disappear from the next report.

If you see these signs, the scorecard is a **symbol**, not a management tool.

Your turn

Symbol or substance? Microsoft's pledge

THE CASE

A pledge under scrutiny

Greenwashing: environmental claims that are largely symbolic rather than substantive.

In 2020 **Microsoft** pledged to be **carbon negative by 2030** and, by 2050, to remove all the carbon it has emitted since its founding in 1975.

Critics point to its software being used to extract fossil fuels, and to its membership of trade associations that oppose climate policies.

YOUR TURN

Discuss

1. Why might a company overstate its environmental performance?

2. Why is it risky?

3. How could Microsoft answer its critics?

Solution

Symbol or substance: possible answers

1. Why overstate?

To win customers, investors and talent cheaply, without paying for real change.

2. Why is it risky?

When it is exposed, the damage to reputation is larger than the gain, and regulators fine misleading claims.

It breaks the Statement of Ethical Professional Practice: honesty, fairness, objectivity and responsibility, and the standards of **integrity** and **credibility**.

3. How could Microsoft answer?

Publish a **measure and a target** for each part of the pledge.

Have them **assured** by a third party.

Report on the critics' points too.

Link **executive pay** to them.

A credible pledge avoids the **four signs of a symbol** seen in “Tool or symbol?”: it is **linked to strategy**, has **targets**, is **reviewed** by management and reports **bad news** too.

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A real case: Novo Nordisk

Section IV

The Sustainable Balanced Scorecard

Why sustainability? Two triggering events

To react to stakeholders' criticism against:

Genetic engineering

New production methods that used genetically engineered micro organisms, and concerns about health risks.

Access to medicines, 2001

The affordability of drugs for developing countries.

Which effects on financial performance? → **Loss of profits: a need for action**

A **non-market** issue that becomes a **financial** one.

Novo Nordisk's triple bottom line

SOCIAL GOALS

People

Affordable access to drugs, prevention projects with patients, better diagnosis.

ENVIRONMENTAL GOALS

Planet

Lower environmental impact of production processes and finished products; careful use of natural resources.

ECONOMIC GOALS

Profit

Financial performance, with ethical and transparent growth.

Each year Novo Nordisk accounts not only for financial performance but also for **sustainable development** performance, as a long term strategy to survive, and reports on its progress.

A principle written into the statutes

Novo Nordisk, the Danish pharmaceutical company, states that its **triple bottom line** principle is anchored in its Articles of Association and in its way of doing business.

What it means

Decisions are expected to balance financial, social and environmental performance.

Question 1

Which of the three architectures fits a company with this principle in its statutes?

Question 2

What changes for managers when sustainability is a duty, not a choice?

The balanced scorecard as the management tool

"Rather than assessing each division with a Triple Bottom Line performance report, Novo Nordisk relies on the balanced scorecard [...]. The Balanced Scorecard is the management tool for embedding and cascading the Triple Bottom Line approach throughout the organization".

Morsing and Oswald (2005)

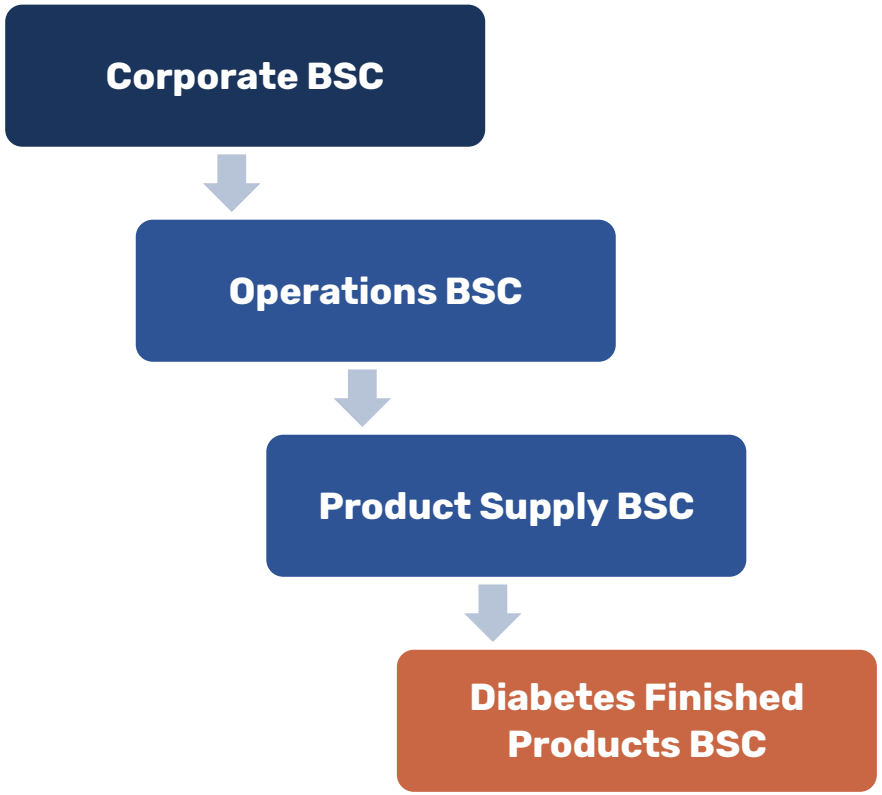
Twenty four objectives under four headings:

Customers and Society	**Finance**	**Business Processes**	**People and Organisation**
customer, widened to society	financial	internal processes	learning and growth

Which architecture? Option 1, **integration**: social and environmental objectives sit inside four headings, and the customer perspective is widened to society instead of adding a fifth. Choice 2: a **balanced** top, the triple bottom line.

A cascading balanced scorecard

1. **Company**: one scorecard for Novo Nordisk as a whole.
2. **Executive vice presidents**: the five executive areas.
3. **Senior vice presidents**: twenty business unit scorecards.
4. **Sub-units**, such as a factory: often a set of KPIs, not four perspectives. Optional.
5. **People**: personal targets, set and reviewed twice a year.



The figure follows one branch: operations, product supply, down to one factory.

Down to a factory: Diabetes Finished Products

Perspective	Critical success factor	Rationale	KPI
Finance	Realise growth in operating profit	Secure growth in line with the industry	Operating profit
Customers and Society	Ensure superior customer satisfaction	Product quality is critical for customer satisfaction	Customer complaints
Business Processes	Improve productivity	Secure cost efficiency in production	Output versus cost (unit costs); fewer non conformities
People and Organisation	Support diversity and social responsibility	Enhance innovation, attraction and reputation	Equal opportunity initiatives undertaken

Diabetes Finished Products is a production unit.

Your turn

What is missing at the factory level?

The company has an **absolute CO_2 target** (Annual Report 2004). Look again at the four KPIs of the Diabetes Finished Products scorecard.

Question 1

Which of the four KPIs is social or environmental?

Question 2

Propose one environmental critical success factor and KPI for business processes, and write the if/then link to the company's goals.

Making the company target reach the factory

Solution

Question 1

Only one: **equal opportunity initiatives**, a social KPI.

No environmental KPI in the part shown: the CO_2 target does not reach the factory.

A proposal

CSF: reduce energy use in production.

KPIs: energy per unit produced ↓ and total CO_2 of the site ↓.

The if/then link

If the factory uses less energy per unit and in total, then unit costs fall and the company meets its absolute CO_2 target.

Cascading is where sustainability can quietly **disappear**: check that each target reaches the unit that creates the impact.

Conclusions

1. **Why:** stakeholders, rules and markets make environmental, social and governance aspects strategic. Double materiality tells us which ones matter.

2. **What:** the sustainable balanced scorecard is not a new tool. It applies the scorecard's logic, derive, link, measure and test, to environmental and social aspects.

3. **Where:** an aspect is placed by its path. Market aspects go into the four perspectives, non-market aspects into a fifth, details into derived scorecards. The options can be combined.

4. **What for:** what sits at the top of the map, profit, sustainability or both, reflects the company's values.

5. **How:** a scorecard is a tool only with targets, owners, reviews and rewards. Otherwise it is a symbol, and close to greenwashing.